

buyers, Hyundai is shifting focus towards expanding DC fast-charging stations. It already has over 80 chargers and aims to scale up to 600 by 2031–32. It is also working to extend the range of EVs beyond 300 kms. The upcoming Creta EV is designed to address these needs. It has an 11 kW home charger that reduces the charging time from eight–nine hours to four–five hours. It also enables app-enabled charging management.

Another focus area is bringing down EV costs by increasing localisation. “With localisation, we can have EVs at a reasonable cost. The government has fixed a very good GST rate of 5%. Many states have given relaxations in road tax on EVs,” says Garg.

Globally, Hyundai Motor Corporation has six EVs and plans to launch 21 more by 2030. It has set a target of selling one million EVs globally by 2030. The conglomerate is also developing a new EREV (extended-range electric vehicle) strategy, which will combine the advantages of ICE and EVs. According to the South Korean carmaker, the EREV increases the range to more than 900 km, maximises the use of the existing engine in terms of battery capacity optimisation, allows refuelling, and offers stress-free charging.

Sharma says a larger electric SUV, perhaps a direct rival to Tata’s Nexon EV or Mahindra’s XUV400, could be a focus area. “As the EV market matures, Hyundai may introduce more affordable and compact EVs, targeting first-time EV buyers and urban customers.” He, however, points out that the primary challenges for Hyundai in the EV rollout include supply chain constraints, particularly for battery components, and the pace of charging infrastructure development. “These are not unique to any OEM and are being addressed through strategic partnerships with local charging infrastructure providers and global supply chain diversifications,” he says.

Meanwhile, for Hyundai, the CNG portfolio continues to be an effective way of dominating the entry-level segment. “In the ₹10–11 lakh range, CNG is a potent tool because that customer is very conscious about the initial cost of acquisition. We have introduced dual-cylinder CNG, and sales continue to go up. This opens a lot of opportunities. At the same time, we believe that CNG is not for the bigger SUVs,” says Garg.

A recent note by UBS says diversification of Hyundai’s powertrain offerings—including CNG, EVs, diesel, petrol and potential hybrids—along with a wide range of transmission and engine

THE CHALLENGES

- 1 **SUPPLY CHAIN CONSTRAINTS, PARTICULARLY FOR BATTERY COMPONENTS, AND PACE OF BUILDING OF CHARGING INFRASTRUCTURE IN THE COUNTRY**
- 2 **COMPETITION FROM OTHER OEMs. INCREASING COMPETITIVE PRESSURES IN ITS CORE SUV SEGMENT COULD IMPACT MARGINS**
- 3 **HIGHER RAW MATERIAL COST AND DEMAND SLOWDOWN**
- 4 **THE COMPANY’S PLANTS OPERATE AT HIGH UTILISATION LEVELS AND MAY NOT BE ABLE TO MEET ADDITIONAL DEMAND**



configurations enhances its ability to cater to evolving consumer preferences. “This adaptability, combined with a targeted approach to filling portfolio gaps (micro-SUVs, MPVs and premium seven-seaters) strengthens Hyundai’s case for sustained market share gains and improved operating leverage over the medium term,” it says.

CAPACITY EXPANSION

Amid shrinking market share, Hyundai is aiming to boost its production capacity with an upcoming